

BASIC NON-LIFE INSURANCE COURSE

MOTOR INSURANCE

MOTOR INSURANCE

Is a kind of insurance pertaining to the:

- OWNERSHIP
- MAINTENANCE
- USE

Any kind of insurance pertaining to the ownership, maintenance, or use of motor vehicle may be referred to, in general, as ***AUTOMOBILE INSURANCE.***

MOTOR INSURANCE

- It also refers to insurance on auto home, motorcycles, scooters, mobiles, buses, road building equipment, trailers, etc.

MOTOR CAR POLICY

Motor Car Policy is a standard policy. Policy terms and conditions are the same for all insurance companies.

Approved by the Insurance Commission.

MOTOR VEHICLE

- Any vehicle propelled by any power
- Using the public roads and highways
- Registered with Land Transportation Office, with Certificate of Cover (COC)

MOTOR CAR POLICY FORMS

- **PRIVATE CAR (PC)** One of a private type (sedan or private passengers) like Nissan Cefiro, Nissan Sentra, Toyota Corolla, Lancer, Porsche, Land Cruiser, Pajero, Nissan Patrol, etc.
- **COMMERCIAL VEHICLE (CV)** Vehicle used for transport of goods such as Pick-Ups, Delivery Van, Trucks, Trailers, etc.

MOTOR CAR POLICY FORMS

- **MOTORCYCLE (MC)** Two-wheeled motor or automotive vehicle

- **LAND TRANSPORTATION OPERATORS (LTO)** Vehicle used for transport of passengers for hire or reward. These vehicles are Taxis, PUB, PUJ and other public utility vehicles.

MOTOR TRADE

Vehicles with conduction stickers only.

Coverage under this policy shall attach only while named-driver is driving the vehicle with a conduction sticker and shall cease as soon as the named driver releases custody of the vehicle to a third party.

TWO (2) TYPES OF MOTOR INSURANCE COVERAGE

- **PHYSICAL DAMAGE INSURANCE** Covers loss or damage to the insured vehicle caused by the insured perils, specified in the policy.

- **LIABILITY INSURANCE** Refers to the:
 - BODILY INJURY* which the insured vehicle may do to people or members of the public in general.
 - PROPERTY DAMAGE* of real or personal property of such people.

A MOTOR CAR POLICY MAY PROVIDE ANY OR ALL OF THE FOLLOWING COVERS:

SECTION I : LIABILITY TO THE PUBLIC

SECTION II : NO FAULT INDEMNITY

SECTION III : LOSS OR DAMAGE

SECTION IV : EXCESS LIABILITY INSURANCE

EXTENSIONS:

1. AUTO PERSONAL ACCIDENT
2. ACTS OF NATURE
3. STRIKE, RIOT, AND CIVIL COMMOTION

SECTION I - LIABILITY TO THE PUBLIC

BASIC COVERAGE

- This is the Compulsory Third Party Liability (CTPL) cover required by the Land Transportation Office, as evidenced by the Certificate of Cover (COC).
- Insurance against liability for death or bodily injury of Third Party as a result of accident.
- It uses a prescribed limit of liability and premiums.
- It follows a Schedule of Indemnity.

WHO ARE PROTECTED

(1) The Insured &

(2) the Authorized Driver

DRIVING OTHER CAR CLAUSE

- Covers the insured even when personally driving another vehicle not belonging to him and not hired by him under a hire purchase agreement.
- This is applicable to private car and motorcycle.
- Applicable to third party bodily injury and property damage.

SECTION I - LIABILITY TO THE PUBLIC

- Death Indemnity / Burial Expenses
- Bodily Injuries and Fractures
- Permanent Disablement

SCHEDULE OF INDEMNITIES

1. Death Indemnity - Ps 70,000.00

Burial Expense - Ps 30,000.00

2. Bodily Injuries & Fractures

Example: Hospital Room - Ps 500.00/ day, max 45 days

Drugs / Medicines - Ps 20,000.00

Surgical Expenses - Ps 7,500.00 (major)

5,000.00 (medium)

1,500.00 (minor)

SCHEDULE OF INDEMNITIES

3. Permanent Disability

(includes dismemberment and loss of use)

Sample:

Sight of Both Eyes	Ps 50,000.00
Sight of One Eye	20,000.00
Hearing - Both Ears	30,000.00
Hearing - One Ear	15,000.00
Five Fingers	15,000.00
Four Fingers	12,000.00
Thumb	8,000.00

SECTION II - NO FAULT INDEMNITY

a. POLICY PROVISION

The insurance company will pay any claim for bodily injury and/or death to any THIRD PARTY or passenger without the necessity of proving fault or negligence of any kind.

SECTION II - NO FAULT INDEMNITY

b. CONDITIONS

1. Total indemnity of any one third party not to exceed Ps 15,000.00, subject to the maximum limits of indemnities in Section 1.
2. Proof of loss, under oath:
 - a. Police report or any evidence sufficient to establish the accident.
 - b. Medical report and any evidence of medical or hospital expenses; and/or
 - c. Death Certificate and any evidence sufficient to establish the proper payee.

SECTION II - NO FAULT INDEMNITY

c. WHO WILL PAY NO-FAULT

1. Claim must be made against only ONE vehicle owner or insurer.
2. If third party is occupant of a vehicle - insurer of vehicle in which he is riding, mounting or dismounting will pay "No Fault".
3. In any other case - insurer of the directly offending vehicle will pay.

SECTION I - COMPULSORY THIRD PARTY LIABILITY (CTPL)

Limit : Ps 100,000.00
(for all types of vehicles)

Additional : Ps 100,000.00
(for Passenger Liability if vehicle is used as public utility.)

**PRIVATE CAR
CTPL LIMITS & PREMIUM**

UNIT	LIMIT	PREM (1Y)	PREM (3Y)
LIGHT	100,000	560.00	1,610.00
MEDIUM	100,000	610.00	1,750.00
HEAVY	100,000	1,200.00	3,440.00

**COMMERCIAL VEHICLE
CTPL LIMITS & PREMIUM**

UNIT	LIMIT	PREM (1Y)	PREM (3Y)
LIGHT	100,000	560.00	1,610.00
MEDIUM	100,000	610.00	1,750.00
HEAVY	100,000	1,200.00	3,440.00

SECTION III - LOSS OR DAMAGE (L/D)

Indemnifies the Insured against L/D to the scheduled vehicle

by:

- Accidental Collision
- Overturning
- Fire
- External Explosion
- Self Ignition
- Lightning
- Burglary/housebreaking
- Theft
- Malicious Act
- Whilst in Transit (including process of loading & unloading) incidental to such transit by road, rail, inland waterways, lift / elevator

SECTION III - LOSS OR DAMAGE (L/D)

2. Methods of Indemnity

- Pay in cash
- Repair the vehicle
- Reinsure or replace the vehicle

Total loss settlement shall be based on value of vehicle at the time of loss or the Sum Insured, whichever is the less.

3. Replacement of Parts

- Cost of brand new parts less depreciation, which is the share of the insured on the cost of replacement parts.
- Computation of depreciation is based on set percentage depending on Age of the vehicle.

SCHEDULE OF DEPRECIATION

AGE OF VEHICLE	RATE OF DEPRECIATION	
	<u>PC</u>	<u>CV/MC</u>
Up to 3 years	NIL	NIL
Over 3 up to 4 years	20%	25%
Over 4 up to 5 years	25%	30%
Over 5 up to 6 years	30%	35%
Over 6 up to 7 years	35%	40%
Over 7 years	40%	45%
Batteries, Tires, Ball Joints, Tie Rods & Shock Absorbers (For Vehicles over 3 years old)	45%	50%
Rebuilt and Reconditioned vehicles		45%

SCHEDULE OF DEPRECIATION

LAND TRANSPORTATION OPERATORS (FOR HIRE)

First 6 months	15%
Over 6 months up to 1 year	25%
Over 1 up to 2 years	35%
Over 2 up to 3 years	45%
More than 3 years	Discretionary

ILLUSTRATION

(DEPRECIATION)

OWN DAMAGE CLAIM - (Yr Model) Nissan Sentra GTS - Ps 600,000.00

ADJUSTED CLAIM

Replace Front Bumper	- Ps 8,000.00	
Replace Grill	- 4,000.00	
Replace Hood	- 8,000.00	
Total Parts	Ps 20,000.00	
Less: Depreciation 20%	4,000.00	
	Ps 16,000.00	
Add: Labor (Tinsmith/Painting) - Ps 12,000.00		
Painting - 5,000.00	17,000.00	
	Ps 33,000.00	
Less: Policy Deductible	3,000.00	
Net Liability	Ps 30,000.00	

SECTION III - LOSS OR DAMAGE (L/D)

4. Towing Fee

Cost of towing the vehicle to the nearest repair shop or residence. (subject to a maximum amount, e.g. P1,500)

5. Authorized Repair Limit (ARL)

- Price Catalogue of the manufacturer including reasonable Cost of Transport by land or sea, Cost of Import Duty and Cost of Fitting.

SECTION III - LOSS OR DAMAGE (L/D)

6. Loss or damage necessitating supply of part not obtainable from stocks held in the Philippines shall be limited to:

Insured is authorized to have the vehicle repaired without prior approval from the insurer, provided cost of repair does not exceed the ARL.

7. Policy shall be operative while Scheduled Vehicle is being used for purpose of towing any one disabled vehicle provided:

- No towing fee
- Any damage to such towed vehicle not covered.

LOSSES NOT COVERED UNDER SECTION - L/D

1. Losses not in excess of the Deductible.

2. Consequential loss, depreciation, wear and tear, mechanical or electrical breakdowns, failures or brokerages.

3. Damage to tires unless scheduled vehicle is damaged at the same time.

4. Any malicious damage caused by the insured, any member of his family or by a person in the Insured's service.

DEDUCTIBLE

RATIONALE

- Avoid small nuisance claims
- Keep premiums affordable

RATES

- Private Cars - 0.5%, minimum of P2,000
- Commercial Vehicle - 1%, minimum of P3,000
- Motor Trade - 1%
- Land Transport Operators - 1.25%, minimum of P4,000.00

Note: The Insured may opt for a higher deductible to lower the premium.

APPLICATION OF DEDUCTIBLE

PRIVATE CAR

0.50% of sum insured, minimum Ps 2,000.00

VALUE

Ps 200,000.00
 x 0.50%
1,000.00

APPLY

Ps 2,000.00 (NOT Ps 1,000.00)

Ps 700,000.00
 x 0.50%
3,500.00

Ps 3,500.00 (NOT Ps 2,000.00)

APPLICATION OF DEDUCTIBLE

COMMERCIAL

1.00% of sum insured, minimum Ps 3,000.00

VALUE**APPLY**

Ps 200,000.00

Ps 3,000.00 (NOT Ps 2,000.00)

x 1.00%2,000.00

Ps 800,000.00

Ps 8,000.00 (NOT Ps 3,000.00)

x 1.00%8,000.00

APPLICATION OF DEDUCTIBLE

MOTORCYCLE

1.00% of sum insured, minimum Ps 500.00

VALUE**APPLY**

Ps 40,000.00

Ps 500.00 (NOT Ps 400.00)

x 1.00%400.00

Ps 70,000.00

Ps 700.00 (NOT Ps 500.00)

x 1.00%700.00

APPLICATION OF DEDUCTIBLE

LAND TRANSPORTATION OPERATORS

1.25% of sum insured, minimum Ps 4,000.00

VALUE

APPLY

Ps 300,000.00
 x 1.25%
3,750.00

Ps 4,000.00 (NOT Ps 3,750.00)

Ps 800,000.00
 x 1.25%
10,000.00

Ps 10,000.00 (NOT Ps 4,000.00)

ILLUSTRATION

(DEDUCTIBLE)

OWN DAMAGE CLAIM - 2013 Nissan Exalta - P700,000.00

ADJUSTED CLAIM

Replace Front Bumper	Ps 8,000.00
Replace Grill	4,000.00
Replace Hood	8,000.00
Labor Tinsmith	3,000.00
Painting	<u>5,000.00</u>
	Ps 28,000.00
Less: Policy Deductible	<u>3,500.00</u>
Net Liability	<u>Ps 24,500.00</u>

SECTION IV - EXCESS LIABILITY INSURANCE

SECTION IV-A

Pays liability in excess of limits
under Sections I & II.

EXCESS BODILY INJURY

Coverage is not subject to
Schedule of Indemnities under
Section I.

Also known as **Voluntary TPL-BI**

SECTION IV - EXCESS LIABILITY INSURANCE

SECTION IV-B

PROPERTY DAMAGE

Pays all sums necessary to
discharge liability of the Insured
in respect of damage to third
party property.

Also known as VTPL-PD

AUTHORIZED DRIVER

The Insured

Any person with permission of the insured provided:

- He/she has a valid driver's license, at least a Non-Professional Driver's License.
- Not disqualified by order of Court of Law.

THIRD PARTY

Is a person other than a passenger as defined in the law and shall exclude:

A member of the household or a member of the family within the 2nd degree of consanguinity or affinity, of a motor vehicle owner

OR

His employee in respect of death or BI or damage to property arising out of and in the course of employment.

LIMITATIONS AS TO USE

Private Car, Commercial Vehicle and Motorcycle

- Use only for social, domestic and pleasure purposes, and for the insured's business or profession

Policy does not cover:

- Use for hauling and/or carrying of logs, lumber, sand, gravel, bottled beverages, gasoline products and/or other inflammable materials.
- Use for racing, pacemaking, reliability or speed testing.
- Use for carriage or passengers or for hire or reward.
- Use for any purpose in connection with the Motor Trade.

Note: Limitations (1) and (2) may be covered upon agreement and payment of 20% additional premium.

LIMITATIONS AS TO USE

Land Transportation Operator (LTO)

- Use only for land Transportation Operator, social, domestic and pleasure purposes.

Policy does not cover:

- Use for hauling of logs, lumber, sand, gravel, bottled beverages, gasoline products and/or other inflammable articles.
- Use for racing, reliability trial or speed testing.
- Use in connection with Motor Trade.

DATA NEEDED FOR A QUOTE

- **YEAR**
- **MAKE**
- **CAR MODEL**

Note: Application form is needed for a policy to be issued

BASIC INFORMATION REQUIRED IN INSURING VEHICLES

- Name
- Address
- Make and Model of the car
- Type of Body
- Engine number
- Plate number and Serial Number
- Color, seating capacity
- Estimate of present value including accessories
- Other coverage and limits desire
- Effectivity date
- Details of any modification or alterations made to the vehicle
- Mortgagee Bank, if any

FUNDAMENTAL PRINCIPLES

- INSURABLE INTERES
- UTMOST GOOD FAITH
- PROXIMATE CAUSE
- INDEMNITY
- CONTRIBUTION
- SUBROGATION

PRINCIPLE OF INSURABLE INTEREST

- Legal Right to insure.
- Insured must bear some legal relationship to the property, whereby he stands to benefit by its safety, or to be prejudiced as a result of loss or damage to the property.
- Validate Name of Insured stated in the Policy vs. Name of Owner stated in Registration Certificate of Vehicle.
- Check of the vehicle has a Mortgagee Clause.

THERE IS A NEED TO VALIDATE POLICY DETAILS VS. INFORMATION PRESENTED BY INSURED

PRINCIPLE OF UTMOST GOOD FAITH

- Requires full disclosure of all details which are material to the risk.
- Material fact is one which would affect the judgement of an underwriter whether he will accept the risk or not.

MATERIAL FACTS

- Year / model of Vehicle and make
- Usage of Vehicle
- Name of Insured / Occupation
- Address of Insured
- Area of operation of the Vehicle, etc.

IMPLIED CONDITIONS

The subject matter of insurance is in existence at the time the policy is effected (Section 19)

- Existence of insurable interest
- Parties observed utmost good faith

PRINCIPLE OF PROXIMATE CAUSE

- The insurers are liable to indemnify the Insured only if the loss or damage or the third party liability was proximately caused by one of the Insured perils.
- Proximate cause means the active, efficient cause that sets in motion the train of events which brings about a result, without the intervention of any force started and working actively from a new and independent source.

ACCIDENTAL COLLISION

The Insured must gather the following information:

- Copy of the Certificate of Registration and Official Receipt
- Residence/ Office Address
- Place of accident
- Copy of the Driver's License and O.R.
- Phone Number

INSURED PERILS

- Accidental collision
- Overturning
- Fire
- External Explosion
- Self-ignition
- Lightning
- Theft
- Housebreaking
- Burglary
- Malicious Act
- Whilst in Transit including loading / unloading

PRINCIPLE OF INDEMNITY

Place the Insured - within the limits of policy and its conditions - as far as possible in the same financial position as he would have occupied had the event insured against not occurred.

PRINCIPLE OF CONTRIBUTION

If there is any other insurance covering the same loss or damage or liability, the Company shall not be liable to pay or contribute more than its ratable proportion of the loss, damage, compensation, cost or expenses.

PRINCIPLE OF SUBROGATION

- This provides that when the Insurer pays the Insured his claim for loss, any right of recovery which the Insured may have against a liable third party shall be passed on to the Insurer.
- This is basically in line with the Principle of Indemnity and avoids possible double compensation to the Insured for the same loss.

GENERAL EXCEPTIONS

The following are not covered by the Policy:

1. Accident or liability incurred outside the Philippines
 Accident or liability whilst the vehicle is
 - being used for purposes mentioned in the limitations as to use
 - being driven by any person other than an Authorized Driver
2. Liability by virtue of an agreement but which would not have attached in the absence of agreement (except amicable settlement on minor accident to avoid impairing flow of traffic.)

GENERAL EXCEPTIONS

The following are not covered by the Policy:

3. Except claims under Sec. I & II, any loss, damage or liability, directly or indirectly, proximately or remotely occasioned to by, contributed to by or traceable to or arising out of, or in connection with
 - flood, typhoon, hurricane
 - volcanic eruption, earthquake or other convulsion of nature
 - invasion, the act of foreign enemies, hostilities or warlike or usurped power
 - or by any direct or indirect consequences of any said occurrences

GENERAL EXCEPTIONS

The following are not covered by the Policy:

4. Any sum of the insured could recover were not for an agreement between the Insured and other party.
5. Bodily injury or death of:
 - any person in the employ of the insured
 - any member of insured's household who is riding in the vehicle

IMPORTANT CONDITIONS APPLICABLE TO ALL SECTIONS

NOTICE

Every notice or communication regarding this policy must be delivered in writing to the company.

IMPORTANT CONDITIONS APPLICABLE TO ALL SECTIONS

SAFEGUARD OF VEHICLE

The insured shall:

- Take reasonable steps - to safeguard the vehicle from loss or damage
- Maintain the vehicle - in efficient condition
- Not leave the vehicle unattended - without proper precautions to prevent further loss or damage in the event of any accident or breakdown
- Give immediate notice to the police - in case of theft or other criminal act which may give rise to the claim, and cooperate with the Company in securing conviction.

IMPORTANT CONDITIONS APPLICABLE TO ALL SECTIONS

• NOTICE OF CLAIM

The insured shall, as soon as possible, give notice to the Company with full particulars.

Every letter, claim writ, summons and process shall be notified and forwarded to the Company immediately on receipt.

• ADMISSION, OFFER, PROMISE OR PAYMENT

No admission, offer, promise or payment shall be made by or on behalf of the insured without the written consent of the Company

• RELINQUISH CONDUCT OF DEFENSE

The company may pay to the insured and third party claimant jointly the full amount of the company's liability and relinquish the conduct of any defense, settlement or proceedings

• CANCELLATION

Both the insurance company and the insured have the right to cancel the policy

SHORT PERIOD RATE SCALE

- Indicate the premium to be charged when the cancellation is initiated by the insured
- Penalty for cancelling the policy
- To compensate the insurance company for the high admin. expense connected with issuing the policy.

IMPORTANT CONDITIONS APPLICABLE TO ALL SECTIONS

ARBITRATION

In case of difference or dispute as to amount of Company's liability arbitration is condition precedent to any action or suit upon the policy.

END...
THANK YOU!!